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Milton Friedman, a Nobel laureate, popularises a saying: *"There is no such thing as a free lunch"*. He means that it is impossible to get something for nothing. Even those offered 'free' always costs a person or the society as a whole. Its cost, however, is hidden. It is an externality. Someone can benefit from an externality or from a public good, but someone-else has to pay the cost of producing these benefits. In Economics, it refers to 'opportunity cost'.

PUBLIC VS PRIVATE GOODS

- PUBLIC GOODS
  - A good available to everyone to consume, Regardless of who pays and who doesn't.
  - Spillover benefits;
  - Non -rival in consumption and non- excludable;
  - E.g:National defence,Law enforcement.
- PRIVATE GOODS
  - A good consumed by a single person or Household;
  - No spillover benefits;
  - Rival in consumption and excludable;
  - E.g:food and drink

On the other hand, economic goods are not available in plenty. They are scarce in supply. Man has to spend money to own or use them.

b. Consumer goods and Capital goods:

Consumer goods directly satisfy human wants, TV, Furniture, Automobile etc.



Capital-goods (also called producer's goods) don't directly satisfy the consumer wants. They help to produce consumer goods. For example, machines do not directly satisfy the consumers, but in factories, the manufacturers need them.



c. Perishable goods and Durable goods:

Perishable goods are short-lived. Their life-span is limited. For example fish, fruits, flower etc do not have a long life.



Durable goods and semi-durable goods have a little longer life-time than the Perishable goods. For example, a table, a chair etc.

